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NATURE OF PROCEEDINGS: Hearing on

Motion to Compel Arbitration.

The Motion to Compel Arbitration is granted.

The action is stayed pending completion of arbitration. The request for dismissal is denied.

BACKGROUND

Plaintiff Hector Solorio-Espinoza

(Plaintiff) filed this action against DSV Air & Sea Inc. (DSV) and Antoine Belote (Belote), named in the Complaint as Antoine Melote (collectively, Defendants), alleging that Defendants refused to accommodate his disability, harassed and retaliated against him, and terminated his employment because of his disability.

The causes of action are: (1) Discrimination on the Basis of Disability or Medical Condition; (2) Failure to Accommodate Disability; (3) Failure to Engage in a Good Faith Interactive Process; (4) Harassment; (5) Failure to Take All Steps Necessary to Stop Discrimination and Harassment from Occurring; (6) Retaliation; (7) Wrongful Termination in Violation of Public Policy; and (8) Intentional Infliction of Emotional Distress.

Defendants filed a Motion to Compel Arbitration. Plaintiff filed an Opposition.

LEGAL

STANDARD

A written agreement to submit a controversy to arbitration is “valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract.” (Code Civ. Proc., § 1281.) The court “shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists,” unless the right to compel arbitration has been waived or grounds exist for rescission. (Code Civ. Proc., § 1281.2, subds. (a), (b).)

The moving party must prove the agreement's existence by a preponderance of the evidence, and the party opposing the motion must prove any defense to enforcement. (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 164-165.) A party invoking an exemption “bear[s] the burden to demonstrate that the exemption applies.” (*Betancourt v. Transportation Brokerage Specialists, Inc.* (2021) 62 Cal.App.5th 552, 559.) On a motion to compel arbitration, the court “sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)

ANALYSIS

I. Existence and Scope

Defendants argue that Plaintiff agreed to arbitrate every dispute arising from his employment when he executed DSV’s Dispute Resolution Agreement during onboarding. (Mot., pp. 2-3.)

Defendants provide the declaration of Shané Jackson, which attaches two arbitration agreements: DISPUTE RESOLUTION AGREEMENT - CA (CA Agreement), executed August 8, 2025, and DISPUTE RESOLUTION AGREEMENT - Non CA (Non-CA Agreement), executed August 14, 2025. (Jackson Decl., ¶¶ 17, 21, Exs. A, C.) Jackson describes the second signing as a re-execution of the same documents, but the Non-CA Agreement contains different terms and names a different company, “DSV Solutions, LLC (name change to DSV Contract Logistics, LLC pending).” (Jackson Decl., ¶ 20, Ex. C, ¶ 1.) The later document did not displace the earlier one. DSV Air & Sea Inc. is not a

party to it, and its paragraph 12 requires a writing signed by all parties specifically stating an intent to revoke or modify. (Jackson Decl., Ex. C, ¶ 12.) The operative agreement is the CA Agreement.

Paragraph 1 obligates both parties to arbitrate all disputes arising out of or related in any way to Plaintiff's employment, and it names wrongful termination, discrimination, harassment, and retaliation among the disputes covered. (Jackson Decl., Ex. A, ¶ 1.) Each cause of action arises from conduct during the employment or from its termination. (Compl., ¶¶ 14-22, 56.)

Paragraph 4 assigns disputes over validity, scope, enforceability, and arbitrability to a court, so the questions Plaintiff raises are for the Court to decide. (Jackson Decl., Ex. A, ¶ 4.) Plaintiff does not deny signing the CA Agreement; he describes the circumstances in which he signed. (Solorio Espinoza Decl., ¶¶ 13-21.)

II. Transportation Worker Exemption

Plaintiff argues that his employment contract falls within section 1 of the Federal Arbitration Act (FAA), which exempts "contracts of employment of seamen, railroad employees, or any other class of workers engaged in foreign or interstate commerce." (9 U.S.C. § 1.) The question is decided before the Act's enforcement provisions may be applied. (New Prime Inc. v. Oliveira (2019) 586 U.S. 105, 111.)

The Court first defines the class by reference to the actual work its members as a whole typically carry out, then asks whether that class is engaged in foreign or interstate commerce. (Southwest Airlines Co. v. Saxon (2022) 596 U.S. 450, 455-456 (Saxon).) The worker "must at least play a direct and 'necessary role in the free flow of goods' across borders," and must be actively "engaged in transportation" of those goods through the channels of foreign or interstate commerce. (Id. at p. 458.) The statute does not direct courts to the employer's industry; the question is what the worker does. (Bissonnette v. LePage Bakeries Park St., LLC (2024) 601 U.S. 246, 254, 256.) A transportation worker "must play some role in the actual transportation of goods." (Vela v. Harbor Rail Services of California, Inc. (2026) 120 Cal.App.5th 353, 366.)

A. The
Relevant Class

Section 1 asks what a class of workers typically does, and Plaintiff bears the burden of establishing it. Here, the record contains two accounts of the Warehouse Supervisor position, one from Plaintiff and one from the manager who supervised him, Mohammed Dayekh.

Plaintiff states that he spent his entire shift on the warehouse floor; that he supervised the employees who loaded and unloaded freight and those who screened shipments with K-9 units before departure; that he directed the order in which outbound trucks were loaded; that he inspected outbound loads before departure and inspected damaged inbound freight; and that he could stop a truck from leaving until an improper load was corrected. (Solorio Espinoza Decl., ¶¶ 2-10.) Dayekh states that the role required Plaintiff to supervise exclusively the workers preparing deliveries for transport from the warehouse, that Plaintiff performed no physical loading or unloading, and that he supervised the building of cargo units, monitored build and load times through the warehouse management system, and handled coaching, discipline, and scheduling. (Dayekh Decl., ¶ 10.)

Plaintiff describes what his position required throughout every shift, and Dayekh describes what “[t]he role of Warehouse Supervisor required,” framing the duties as attributes of the job. (Solorio Espinoza Decl., ¶¶ 3, 10; Dayekh Decl., ¶ 10.) Both accounts therefore describe the position itself. Defendants offer no evidence that any other warehouse supervisor at DSV performed the position differently. Weighing the two accounts, the Court finds that warehouse supervisors at DSV typically direct the sequence in which outbound freight is loaded, inspect the loads, and decide whether a loaded truck may leave. Dayekh’s additional description of scheduling and personnel duties does not contradict any of those functions.

B. Engagement
in Commerce

Here, trucks arrived and departed continuously through the workday, and the shipping paperwork and labels Plaintiff observed identified destinations throughout the United States and abroad. (Solorio Espinoza Decl., ¶¶ 5, 11.) DSV ships goods throughout the

United States and internationally by air, sea, and roadway. (Jackson Decl., ¶ 2.)

In *Saxon*, the plaintiff was a ramp supervisor who trained and supervised the ramp agents who physically loaded and unloaded baggage, airmail, and freight on and off airplanes traveling across the country, and who frequently stepped in and did that loading work herself. (*Saxon*, supra, (2022) 596 U.S. at p. 454.) The Supreme Court held that she belonged to a “class of workers engaged in foreign or interstate commerce” exempt from the FAA under section 1 (9 U.S.C. § 1), reasoning that one who loads cargo onto a plane bound for interstate transit is directly involved in the transportation of that cargo. (*Saxon*, supra, 596 U.S. at pp. 453-454, 458-459.) Because the ramp supervisors frequently loaded cargo themselves, the Supreme Court declined to decide whether supervision of cargo loading alone would exempt a class. (*Saxon*, supra, 596 U.S. at p. 456, fn. 1.)

The governing test asks whether the worker’s relationship to the movement of goods is close enough that the work “plays a tangible and meaningful role in their progress through the channels of interstate commerce.” (*Ortiz v. Randstad Inhouse Services, LLC* (9th Cir. 2024) 95 F.4th 1152, 1160.) Physical contact with the goods is not always required. The Ninth Circuit held that a fuel technician who places fuel in an airplane used for foreign and interstate commerce is a transportation worker, reasoning that refueling was a vital component of the aircraft’s ability to engage in the interstate and foreign transportation of goods and was therefore “so closely related to interstate and foreign commerce as to be in practical effect part of it.” (*Lopez v. Aircraft Service International, Inc.* (9th Cir. 2024) 107 F.4th 1096, 1101.)

Similarly, the Third Circuit exempted a field services supervisor who oversaw 30-35 drivers at a package transportation and delivery company and monitored their performance to ensure efficient deliveries. (*Palcko v. Airborne Express, Inc.* (3d Cir. 2004) 372 F.3d 588, 590.) Her “direct supervision of package shipments” made her work “so closely related [to interstate and foreign commerce] as to be in practical effect part of it.” (*Id.* at p. 593, quoting *Tenney Engineering, Inc. v. United Electrical Radio & Machine Workers of America* (3d Cir. 1953) 207 F.2d 450, 452.)

Here, as in *Palcko*, Plaintiff's class, warehouse supervisors, satisfies the test because its members decide when the goods are released. The goods do not begin the interstate leg of their journey until the warehouse supervisor authorizes it. Loading cargo onto a vehicle bound for interstate transit is itself commerce (*Saxon*, *supra*, 596 U.S. at pp. 457-458), and a worker who determines when that loading is complete is actively engaging in that interstate commerce.

Defendants also argue that Plaintiff's evidence does not identify the origin, destination, customer, and transportation status of any particular shipment he handled. (Reply, p. 3:22-24.) Section 1 asks about a class, identified by the work its members typically perform, and it calls for no accounting of individual packages. Defendants further argue that the labels Plaintiff observed do not show that a material portion of the class's work concerned interstate freight. (Reply, p. 4:7-15.) However, Defendants fail to refute Plaintiff's declaration stating that he regularly observed paperwork and labels showing that the goods were being shipped out of state and internationally. (*Solorio Espinoza Decl.*, ¶ 10.) The Court concludes that Plaintiff has carried his burden of showing that he is part of an exempt class and that the FAA does not govern the Agreement.

III. The Exemption's Effect

Defendants request in the alternative that the Court compel arbitration under the California Arbitration Act (CAA). (Mot., p. 7.) The exemption's effect "is merely to leave the arbitrability of disputes in the excluded categories as if the [Federal] Arbitration Act had never been enacted." (*Palcko*, *supra*, 372 F.3d at p. 596, quoting *Mason-Dixon Lines, Inc. v. Local Union No. 560* (3d Cir. 1971) 443 F.2d 807, 809.) The exemption does not itself defeat enforcement of the Agreement. Where the FAA does not govern, a California court assesses the agreement under the CAA and enforces it absent a valid defense. (*Ruiz v. Sysco Food Services* (2004) 122 Cal.App.4th 520, 538-539.)

The Court notes that the Legislature has recently addressed the enforceability of agreements exempt from the FAA under the CAA. Assembly Bill 2155, which the Governor signed on June 30, 2026, adds a

subdivision (b) to Code of Civil Procedure section 1281 providing that a written arbitration agreement “is not enforceable under this section to the extent the agreement is not enforceable under the Federal Arbitration Act.” (Stats. 2026, ch. 46.) The amendment takes effect January 1, 2027. It is not in effect on the date of this hearing and does not govern this motion.

IV. Unconscionability

Plaintiff argues that the Agreement is unconscionable and unenforceable. Unconscionability is a general contract defense, and the party asserting it bears the burden of proving it. (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 911; see Civ. Code, § 1670.5, subd. (a).) “Both procedural and substantive elements must be present to conclude a term is unconscionable, but these required elements need not be present to the same degree. [Citation.] Courts apply a sliding scale analysis under which ‘the more substantively oppressive [a] term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.’ [Citation.]” (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 493.)

A. Procedural

Unconscionability

Procedural unconscionability turns on oppression and surprise arising from unequal bargaining power, and oppression considers the time given, the pressure to sign, the contract’s length and complexity, the employee’s education and experience, and whether the employee had legal assistance. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126-127.)

Plaintiff argues that DSV imposed the Agreement on him in English, his secondary language, during a compressed onboarding process, without translation or explanation.

1. Adhesion

Adhesion contracts in the employment context, offered to employees on a take-it-or-leave-it basis, typically contain some aspects of procedural unconscionability, but that adhesive aspect is not dispositive. (*Serpa v. California Surety*

Investigations, Inc. (2013) 215 Cal.App.4th 695, 704.) Where “there is no other indication of oppression or surprise, ‘the degree of procedural unconscionability of an adhesion agreement is low, and the agreement will be enforceable unless the degree of substantive unconscionability is high.’” (Ibid.)

Here, DSV drafted the Agreement and presented it through a mandatory onboarding process at the end of a year-long transition following its acquisition of the business. (Compl., ¶¶ 17, 19; Jackson Decl., ¶¶ 3, 8, 12.) No one told Plaintiff that signing was optional, and he understood it to be a condition of continued employment. (Solorio Espinoza Decl., ¶ 20.) The Agreement is adhesive, which establishes at least a low degree of oppression. (Ramirez, supra, 16 Cal.5th at p. 492.)

2. Tight Deadline

Plaintiff states that he was required to sign more than five onboarding documents before a deadline while performing his regular duties. He states that he did not feel he had sufficient time to read each one. (Solorio Espinoza Decl., ¶ 14.) Plaintiff does not state that he asked for more time, that anyone refused, or when the deadline fell. He attributes computer access problems to employees in general but does not say he personally experienced them. (Ibid.). Jackson states that the documents were sent via an email link, that no time limit applied once the review of documents began, and that an employee could return to the link later to finish the review. (Jackson Decl., ¶¶ 8, 12-13.) Plaintiff provides no evidence that DSV said or did anything requiring him to finish signing documents without having an accurate opportunity to review them. Accordingly, the Court concludes that Plaintiff has failed to show additional surprise or oppression based on inadequate time to review the CA Agreement.

3. Lack of Translation

Next, Plaintiff argues that DSV failed to provide him with a Spanish translation of the CA Agreement despite his limited English language ability.

“Generally, a party may not avoid

enforcement of an arbitration provision because the party has limited proficiency in the English language. If a party does not speak or understand English sufficiently to comprehend a contract in English, it is incumbent upon the party to have it read or explained to him or her.” (Caballero v. Premier Care Simi Valley LLC (2021) 69 Cal.App.5th 512, 518-519.) However, an arbitration provision is procedurally unconscionable where it “was neither provided in a Spanish-language copy nor explained to respondents who did not understand written English.” (Penilla v. Westmont Corp. (2016) 3 Cal.App.5th 205, 209.)

Plaintiff does not claim that he does not understand written English. Instead, he declares that Spanish is his primary language, that “[a]lthough I understand some conversational English, I do not understand legal terminology written in English,” and that he “read portions of the onboarding documents, including some of the titles, but ... did not understand the legal language contained in the documents.” (Solorio Espinoza Decl., ¶¶ 15-16.) This is consistent with the evidence, which shows that Plaintiff has a working command of English. He communicated with his manager in English daily, in person and in writing. He responded in English to an instruction to issue a corrective action and to an email among several supervisors about warehouse release procedures, and he passed two English safety quizzes. (Dayekh Decl., ¶¶ 3-9, Exs. E-H.)

The record does not show that Plaintiff requested that the contract be read or explained to him, that he sought time to consult a lawyer, or that he told anyone he did not understand what he was signing. Paragraph 11 recites that the signer “had time to read this agreement and ask the Company’s representative any questions I had about the agreement before signing this agreement.” (Jackson Decl., Ex. A, ¶ 11.) At a minimum, that sentence cannot be reasonably understood to constitute “legal terminology.”

Difficulty with legal language bears on the analysis, but only where the contract is drafted to be needlessly difficult to understand. Surprise is present when an agreement’s meaning is difficult to ascertain, as when “the allegedly unconscionable provision is hidden within a prolix printed form.” (Fuentes v. Empire Nissan, Inc. (2026) 19 Cal.5th 93, 104.) An agreement’s “complex sentences replete with legal jargon and statutory references” may present “a substantial barrier to understanding its terms.” (Id. at pp. 104-105.) The agreement in Fuentes was a single paragraph of roughly 900 words containing a 214-word sentence, naming six statutes and citing code sections without

explanation, printed in a font the trial court called visually impenetrable. (Id. at p. 105.) This Agreement is two pages. Its provisions are separately numbered, its title states its subject, and the consequence of signing appears in capital letters immediately above the signature line. (Jackson Decl., Ex. A, p. 2.) Plaintiff fails to identify any provisions which are hidden, buried, or impenetrable. What Plaintiff describes is the ordinary unfamiliarity of contract language. A unilateral lack of understanding is not a ground for revoking a contract. (Brookwood v. Bank of America (1996) 45 Cal.App.4th 1667, 1674.)

Because this record shows no further indication of oppression or surprise, the Court concludes that the degree of procedural unconscionability is low.

B.

Substantive Unconscionability

Plaintiff argues that paragraph 5 is one-sided because it requires the employee, and only the employee, to deliver a written statement of any claim to DSV's Legal Department before bringing that claim to arbitration. (Opp., p. 15:13-22; Jackson Decl., Ex. A, ¶ 5.)

A term must be overly harsh, unduly oppressive, or unreasonably favorable before it is unconscionable. (Sanchez, supra, 61 Cal.4th at pp. 910.) "Not all one-sided contract provisions are unconscionable; hence the various intensifiers in our formulations." (Id. at p. 911.) "The ultimate issue in every case is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement." (Id. at p. 912.)

Nyulassy

v. Lockheed Martin Corp. (2004) 120 Cal.App.4th 1267 treated a prearbitration submission requirement as a ground of substantive unconscionability where the obligation to arbitrate bound only the employee. The employee's duty to arbitrate there arose solely from his objection to a Lockheed Martin personnel decision, and he had to carry that objection through successive levels of his supervisory chain of command before he could arbitrate. (Id. at pp. 1273-1274, 1282.) Requiring the employee to submit to "an employer-controlled dispute resolution mechanism (i.e., one without a neutral mediator)" suggested that the employer would receive a "free

peek” at the employee’s case, and an advantage if the employee later demanded arbitration. (Id. at pp. 1282-1283.) Carmona applied Nyulassy to a prearbitration disclosure obligation running against employees alone. The “unilateral ‘free peek’ provision” there contributed to the agreement’s substantive unconscionability, which already lacked mutuality in three other respects. (Carmona, supra, 226 Cal. App.4th at pp. 89-90.)

Subsequent cases have rejected free peek challenges to comparable clauses to the one in the CA Agreement. In Serpa, the agreement provided that a dispute the parties could not resolve “through informal internal efforts” would go to binding arbitration. (Serpa, supra, 215 Cal.App.4th at p. 710.) “Informal internal efforts” was not defined in the agreement, and the court read the clause as requiring only informal notice of a grievance. (Ibid.) Distinguishing the one-sided arbitration agreement in Nyulassy, the court held that “a requirement that internal grievance procedures be exhausted before proceeding to arbitration is both reasonable and laudable in an agreement containing a mutual obligation to arbitrate. It plainly does not ‘shock the conscience’ so as to vitiate the arbitration agreement” (Ibid.)

Here, paragraph 1 subjects both parties’ employment-related claims to arbitration and waives both parties’ rights to a court and a jury. (Jackson Decl., Ex. A, ¶ 1.) Paragraph 6 requires the parties to select a neutral arbitrator at the outset of the arbitration. (Jackson Decl., Ex. A, ¶ 6.) The Agreement is therefore neither unilateral nor employer-controlled in the way Nyulassy describes. It also carries none of the further one-sided terms that surrounded the disclosure obligation in Carmona. Moreover, Paragraph 5 does not require DSV to approve the claim or go through any internal procedures before commencing arbitration. Nor does it require Plaintiff to submit more information in his claim than he would include in any notice of arbitration. Indeed, paragraph 5 does not even specify an amount of time that Plaintiff must submit the written claim before commencing arbitration. Therefore, the value of any “free peek” is entirely within Plaintiff’s control by including no more information in the written claim than in the notice of arbitration and providing no significant gap between the written claim and serving notice. Combined with the fact that, unlike Nyulassy, the arbitration itself is bilateral, paragraph 5’s lack of mutuality at most suggests a low degree of substantive unconscionability.

Because there is only a low level of

procedural unconscionability, even if the Court concluded that paragraph 5 contains a low degree of substantive unconscionability, that would not render the provision unconscionable. (See *Serpa*, supra, 215 Cal.App.4th at p. 704.) Accordingly, the Court concludes that the CA Agreement is not unconscionable.

V. Third

Party Beneficiary

Defendants argue that Belote, a nonsignatory, may enforce the Agreement as an intended beneficiary. (Mot., pp. 11-12.) A person who is not a party to a contract may enforce it if that person is likely to benefit from the contract, if a motivating purpose of the contracting parties was to provide the benefit, and if enforcement by the third party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties. (*Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817, 829-830; see Civ. Code, § 1559.)

Here, paragraph 3 extends Plaintiff's agreement to arbitrate to claims he might bring against the officers, managers, employees, and agents of DSV and its affiliates. (Jackson Decl., Ex. A, ¶ 3.) The Complaint alleges that Belote was a general manager employed by DSV and that he supervised Plaintiff. It pleads harassment based on disability against all Defendants and names Belote among those who harassed Plaintiff. (Compl., ¶¶ 6, 20, 88, 90.) Paragraph 3 names claims of that kind. The parties included paragraph 3 to extend the benefit of the Agreement to DSV's managers, and permitting Belote to enforce the promise accords with an agreement whose object is to keep employment disputes out of court. Plaintiff's contrary argument depends on the premise that no enforceable agreement exists, which the Court has already rejected.

VI. Stay

or Dismissal

Defendants request dismissal of the action or, alternatively, a stay pending arbitration. (Mot., pp. 12-13.)

Once a court has ordered arbitration of a controversy at issue in a pending action, it "shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration

is had in accordance with the order to arbitrate or until such earlier time as the court specifies.” (Code Civ. Proc., § 1281.4.)

Here, the Court orders every cause of action to arbitration, so Code of Civil Procedure section 1281.4 requires a stay. Retaining the action on the Court’s docket preserves jurisdiction to address a petition to confirm, correct, or vacate any award. The action is stayed, and the request for dismissal is denied.

CONCLUSION

The Motion to Compel Arbitration is granted.
The action is stayed pending completion of arbitration. The request for dismissal is denied.